

LBOMODEL2 — Assumptions_Drivers Source Map (no separate sources tab)

Each yellow input on **Assumptions_Drivers** has Source link (col E) + ~30-word justification (col F) on the **same row**. Excel:

https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusclbomodel2-44dc/vengeanceaiUSC_LBOMODEL2.xlsx

Row	Driver	Source	Why reasonable (~30 words)
5	Revenue growth 10%	ZoomInfo FY2024 results (BusinessWire)	ZI FY24 revenue fell ~2%, so 10% is a forward recovery/LBO underwrite—not trailing actual. Held constant in AI vs Base so IRR uplift comes from cost takeout, not inflated top-line.
6	Gross margin 80%	Aleph/Benchmarkit SaaS GM median ~80%	2025 software median gross margin is ~80% (Aleph×Benchmarkit). ZI already prints ~84% GAAP GM; using 80% is a conservative SaaS benchmark, not an aggressive stretch.
7	Sales payroll cut ~15%	AI SDR vs human SDR cost/meeting	Published outbound math: fully loaded human SDRs ~\$110–150k vs much cheaper AI stacks. Cutting human sales payroll 15% in Y1 is a modest slice of ZI's 1,513 S&M; headcount.
8	Commission cut ~20%	SDR pay mix ~70/30 base/variable	SaaS SDR OTE is typically ~70% base / ~30% variable. Replacing outbound humans with AI logically shrinks the commission pool; ~20% is a partial, not full, cut of that variable layer.
9	AI infrastructure \$15m	Salesforce Agentforce \$2/conv + Flex Credits	SF publishes \$2/conversation and ~\$0.10/action Flex Credits. At ZI scale (~378 outbound roles at 25% of 1,513 S&M;), \$5–10k/mo AI agents imply ~\$23–45m; \$15m is conservative.
10	S&M; growth Y2+ 2%	Gartner: agentic AI scales via inference opex	Once agents replace headcount, S&M; opex need not grow with revenue. Cap growth at ~2% (near inflation/maintenance) to model infinite agent scale vs linear human hiring.
11	G&A; % rev 18%	ZoomInfo FY24 G&A; \$295.3m (~24% rev)	ZI FY24 G&A; was \$295.3m (~24% of \$1,214m). We lock ~18% as a leaner but still corporate G&A; load; thesis does not touch finance/comp overhead—only the sales floor.
12	CapEx reduction ~5%	In-house SDR tooling/laptop stack costs	Human SDR all-in budgets include laptops, seats, and tooling. Terminating outbound humans cuts recurring device/refresh CapEx; ~5% vs base CapEx rate is a small, directionally correct haircut.
13	WC improvement ~10%	ZI receivables ~80 days (SEC ratios)	ZI receivables turnover ~80 days shows WC is material. Automated billing reminders can shorten DSO; modeling ~10% WC intensity vs base is a modest collections improvement, not a wipeout.
14	SOFR ~4.3%	NY Fed official SOFR page	SOFR is the NY Fed's official overnight Treasury-repo financing benchmark used to price leveraged loans. ~4.3% is a planning level near recent SOFR prints (see also FRED SOFR series).
15	TLA spread +4%	TLA typical SOFR+275–375bps (illustrative)	Bank Term Loan A in LBO structures typically prices tighter than TLB. SOFR+400bps sits at the wider end of published TLA ranges—conservative senior pricing independent of AI ops.
16	TLB spread +5%	TLB often SOFR+300–500bps; 1%/yr amort	Institutional TLB commonly prices SOFR+300–500bps. SOFR+500bps is the upper published band—credit-market priced, not changed by internal AI software strategy.
17	Mandatory amort 1%	Syndicated TLB ~1% annual amort standard	Market-standard institutional TLB schedules ~1% annual amortization with a bullet at maturity. Kept fixed because loan docs—not AI FCF—set the mandatory floor.
18	Cash sweep 100%	LBO excess cash / optional prepay practice	Sponsor LBOs typically sweep excess free cash to optional debt prepay after mandatory amort. 100% sweep maximizes deleveraging so AI margin gains show up in MOIC/IRR, not idle cash.
19	Tax rate 21%	PwC: US federal corporate rate 21%	US federal corporate income tax is a flat 21% statutory rate (TCJA). Operating-margin gains do not change the federal statutory rate used in the model.
20	Exit multiple 13x	PE SaaS buyouts often ~15–22x EBITDA	PE SaaS deals often underwrite ~15–22x EBITDA. Locking exit at 13x in BOTH AI and Base cases is deliberately conservative so equity creation is attributed to ops, not multiple expansion.
21	S&M; baseline \$425m	ZI FY24 S&M; \$414.1m on \$1,214.3m rev	Company-reported FY24 S&M; = \$414.1m (~34% of \$1,214.3m revenue). Model uses ~\$425m (~35%) as a rounded baseline consistent with that filing.
22	Payroll baseline \$318.8m	SDR OTE mostly base (~70%)	With ~70/30 base/variable SDR mix, most S&M; people cost is payroll/base. Payroll baseline = S&M; – commission pool (~75% of S&M;) matches that pay-mix structure.
23	Commission baseline \$106.2m	Variable ~30–35% of SDR OTE	Tech SDR variable is typically ~30–35% of OTE. Setting commission pool at 25% of S&M; is a slightly conservative carve of total S&M; for variable payouts.
24	CapEx base 2% rev	ZI FY24 unlevered FCF / light CapEx SaaS	SaaS models run low CapEx vs industrials; ZI still printed strong FY24 FCF. 2% of revenue is a simple maintenance CapEx planning rate before the AI ~5% haircut.
25	WC base 2% Δrev	ZI receivables days ~80 (WC intensity)	Receivables ~80 days imply WC scales with growth. Using 2% of Δrevenue as ΔNWC is a simplified SaaS WC plug anchored to that receivables reality.